

10.3

Forwards/Derivatives

In the previous section, we understood how leases work and the basic questions we can ask. In this section, we move forward and understand Forwards and Derivative Contracts and how the company uses them.

Forwards/ Derivatives

Does the company have significant exposures

Does the company hedge these exposures?

How effective is hedging?

Check trends in OCI and its components to

The Company might use futures options or forward contracts to hedge against various factors. For example, the company needs to buy raw materials three months from today. If the current price is 100 USD, the company can hedge it, and receive delivery three months later.

